Kena

SECTOR INVESTMENT REPORT · ETHIOPIA

Real estate, housing and construction

Opportunities, published returns, incentives and risks, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Kena · Building Trust in Every Deal
Erudite Africa Investments PLC · Addis Ababa

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Executive summary

Construction is Ethiopia's largest industrial activity: the National Bank of Ethiopia reports it contributed around 23 percent of GDP and grew 9.0 percent in 2023/24. Urban population is growing by about 4.6 percent a year, and the World Bank estimates the country needs nearly 400,000 new housing units a year. The government has opened residential ownership to foreign nationals, signed affordable-housing PPPs, and is tendering more mixed-use housing PPP sites in Addis Ababa.

CONSTRUCTION SECTOR CONTRIBUTION TO GDP
around 23 percent of GDP (70.1 percent of the industrial sector in the text; Table 1.2 shows 72.1 percent)

CONSTRUCTION SECTOR REAL GROWTH
9.0 percent

URBAN POPULATION (SHARE OF TOTAL POPULATION)
24.11 percent (2024: 23.62 percent)

URBAN POPULATION GROWTH
4.59 percent per year (2024: 5.00 percent)

01 Key indicators

Indicator	Value	Period
Construction sector contribution to GDP	**around 23 percent of GDP (70.1 percent of the industrial sector in the text; Table 1.2 shows 72.1 percent)**	2023/24 (Ethiopian fiscal year)
Construction sector real growth	**9.0 percent**	2023/24
Urban population (share of total population)	**24.11 percent (2024: 23.62 percent)**	2025
Urban population growth	**4.59 percent per year (2024: 5.00 percent)**	2025
New urban housing units needed	**nearly 400,000 new housing units per year to meet new demand (annual projected demand of 381,000 plus replacement housing)**	Estimate published 2019
Government housing supply versus demand	**meeting only 10% of annual demand; 60% of households in large cities live in rental units**	Estimate published 2019
Homes built and under construction (government statement)	**around one million homes built over the past five years; over 265,000 more under construction**	Stated July 2025

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Indicator	Value	Period
Lemi National Cement Factory capacity	**150,000 quintals per day; produces 50 percent of the cement made by factories across the country**	Stated September 2024

02 Returns and yields

Measure	Value	Period	Basis
Treasury bill weighted average yield (benchmark)	**9.74 percent**	2023/24	Average weighted yield on nominal Treasury bills, NBE Table 4.4 and statistical annex
Treasury bill yield on new issuances (benchmark)	**14.4 percent (down from 16.7 percent in December 2025)**	April 2026	Weighted average interest rate for new T-bill issuances, as reported by IMF staff
Bank lending interest rate (all sectors)	**simple average 14.25 percent; range 7.00 to 21.50 percent**	2023/24	Commercial bank lending rates across the economy, not specific to construction or real estate

No international institution or Ethiopian government source we reviewed publishes an average return on investment for this sector. The closest published indicators included are Treasury bill yields (9.74 percent in 2023/24; 14.4 percent on new issuances in April 2026) and the economy-wide bank lending rate (average 14.25 percent, range 7.00 to 21.50 percent, in 2023/24).

03 Investment opportunities

- **Affordable housing PPPs in Addis Ababa.** The Ministry of Finance invited expressions of interest to design, finance, build, operate, maintain and transfer four affordable housing PPP projects covering eight mixed-use commercial and residential sites in four clusters in Addis Ababa (responses due June 1, 2026).
- **Signed housing PPPs.** Seven private developers signed PPP agreements with the Ministry of Finance on July 3, 2025, four of them for affordable housing, under PPP Proclamation No. 1076/2018.
- **Residential property open to foreign buyers.** The House of Peoples' Representatives passed a proclamation on July 1, 2025 that allows foreign nationals to own residential real estate in Ethiopia, subject to the procedures in the new law.
- **Corridor development pipeline.** The second phase of Addis Ababa's corridor development delivered 135 km of roads, 246 km of pedestrian walkways, 141 km of bicycle lanes and 53 bridges (reported to the City Council in July 2025).
- **Expressway PPPs.** The Ministry of Finance lists three expressway projects (Adama-Awash, Awash-Mieso, Mieso-Dire Dawa), about 357 km with an approximate cost of USD 871 million, among its PPP programs.

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- **Housing finance build-out.** A framework agreement between the National Bank of Ethiopia and IFC, witnessed by the Prime Minister in September 2026, aims to support the construction of 1.5 million affordable homes.

04 Incentives

- Exemption from duties and other taxes on imports of machinery, equipment and construction material (Ethiopian Investment Commission incentive list).
- Up to 15 years income-tax holiday for industrial park developers, and a 60 to 80 year charge-free land lease for industrial park developers.
- Losses may be carried forward.
- PPPs run under Proclamation No. 1076/2018, with a PPP Board chaired by the Ministry of Finance that approves pipeline projects, tenders and awards, and a PPP Directorate General acting as its secretariat.

05 Risks to consider

- Heavy reliance on foreign-sourced construction inputs creates supply chain vulnerabilities; the domestic construction industry grew only 5.4 percent against a 17 percent Ten-Year Plan target, and local firms' average time overrun is double that of foreign firms.
- Intermittent instability in certain regions continues to disrupt project execution, and the ministry rates political and governance risk as Substantial.
- The National Bank maintained a cap on private credit growth at 24 percent a year, while 20 of 28 banks exceeded their annual growth caps by March 2026, which can constrain financing for developers and buyers.
- Housing-related inflation is high: inflation for housing, water, electricity, gas and other fuels rose to 28.3 percent in 2023/24 from 23.9 percent the year before.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Kena members on the platform.

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